NESA NATIONAL EXAMINATION AND SCHOOL INSPECTION AUTHORITY

Entrepreneurship

T2-186

Wednesday, 16 July 2025
2:00 PM to 5:00 PM

Names:.....

Index number :.....

TSS NATIONAL EXAMINATIONS, LEVEL 5, 2024-2025

QUESTIONS and ANSWERS BOOKLET

TRADE (s): MAT, MNT, AUT, PLT, WOT, FOR, AGR, ANH, BDC, CSA, ELT, ETE, FAD, FPA, FBO, FOP, FOH, IND, LSV, LET, MMP, MPA, NIT, PWO, REN, SWD, TOR, WIR

SUBJECT: ENTREPRENEURSHIP

DURATION: 3 Hours

Read carefully the instructions on page 3

TOTAL MARKS...../100

FOR EXAMINER'S USE ONLY

QUESTIONS	1	2	3	4	5	6	7	8	9	10	Total
Marks											

QUESTIONS	11	12	13	14	15	16	17	18	19	20	Total
Marks											

QUESTIONS	21	22	23	24	25	26	27	28	29	30	Total
Marks											

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INSTRUCTIONS TO CANDIDATE:

1. This Exam paper is composed of **three sections (A, B and C).** Follow the instructions given below and answer the indicated questions for a total of **100 marks.**

   Section **A:** Twelve (12) questions which are **Compulsory** **40 marks**

   Section **B:** Among the six (6) questions, attempt any three (3) **30 marks**

   Section **C:** Among the four (4) questions, attempt any two (2) **30 marks**

2. Fill in your actual **names** and **Index number** on the provided space(Cover).
3. Do not remove or tear any page or part of it of this Questions and Answers Booklet.
4. Answer in the language in which the Examination is set.
5. In section **A**, answer questions in the provided space. In case of multiple-choice questions, just **circle** the letter corresponding to the correct option.
6. In section **B** and **C**, answer questions in the provided space after section C questions.
7. **Allowed materials:**
   - Blue or Black pen.
   - Geometrical Instruments
   - Silent non-programmable calculators

SECTION A: Attempt all questions **(40 marks)**

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01. An entrepreneur must demonstrate..... .....*(Circle the best answer)* **(3Marks)**

A) Rigidity

B) Arrogance

C) Adaptability

D) Disrespect

02. A key objective of Made in Rwanda is to: ..... *(Circle the best answer)* **(3Marks)**

A) Discourage exports

B) Develop local production capacities

C) Promote foreign brands

D) Eliminate local markets

03. Which of the following is **NOT** an importance of the business plan to employees? *(Circle a letter corresponding to best answer)* **(3Marks)**

A) It is necessary to provide information about business

B) It helps to define tasks and responsibilities

C) It helps to know the vision and mission of the enterprise

D) It hinders the development of a business.

04. Based on the meaning of this statement, answer by using ***True(T)*** or ***False(F)***: **(4Marks)**

A) Customer: A person who buys goods or services from a shop or business. .....

B) Employee: Someone who's hired in an organization or a company or on a person to do a particular job for pay. .....

05. Fill in the blank space in the following statement with appropriate term **(2Marks)**

..... is similar to demographic segmentation, but it deals with characteristics that are mental and emotional.

06. Differentiate Production equipment machinery from Production consumable as business star-up requirements **(4Marks)**

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07. From the following options, circle five positive attitudes of an entrepreneur **(5Marks)**

A) Being open minded

B) Being courageous

C) Ethical behavior

D) Unkindness

E) Rudeness

F) Planning

G) Being creative

H) Laziness

08. List any two importance of assigning duties. **(4Marks)**

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09. Choose by circling types of business organization among the following list **(3Marks)**

A) Sole proprietorship

B) Partnership business

C) Corporation/Limited-liability companies

D) Cooperative

E) Unlimited liability

F) Stakeholder

10. Which of the following is the best example of Creativity in entrepreneurship? **(3Marks)**

A) A business person following an existing business plan to increase profits.

B) An individual inventing completely a new type of consumer product.

C) A company improving the quality of their product based on customer feedback.

D) An entrepreneur starting a business in a known industry with no new ideas.

11. An entrepreneur is looking to launch a new product at a competitive price. Which trait will directly help him/her achieve this goal? **(3Marks)**

A) Wrong ethical values

B) Competitiveness

C) Lack of confidentiality

D) Inflexibility

12. Which statement among the following is **TRUE** about the Made in Rwanda campaign? **(3Marks)**

A) It discourages innovation

B) It increases unemployment

C) It promotes economic self-reliance

D) It reduces local business competitiveness

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Section B: Attempt any three (3) questions (30 marks)

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13. i) Why is financial planning important? **(2Marks)**

ii) Why is it important to write a business plan before starting a business? **(2Marks)**

iii) Mention three users of a business plan. **(6Marks)**

14. Explain any five important factors to be considered while choosing location for a business? **(10Marks)**

15. Describe five Advantages of a corporation business structure. **(10Marks)**

16. A retail store has total assets of 100,000,000Frw. In one month, it purchases inventory for 40,000,000Frw and sells it for 70,000,000Frw. The operating expenses for that month was 15,000,000Frw. Calculate: **(10Marks)**

i) Cost of Goods Sold

ii) Gross profit

iii) Net profit

17. Explain any five methods for decreasing cash outflow in a business? **(10Marks)**

18. Explain any five steps involved in feasibility analysis. **(10Marks)**

Section C: Attempt any two (2) questions (30 marks)

19. Using the table below match the entrepreneurial characteristic with its corresponding description. **(15Marks)**

Entrepreneurial Characteristic	**Descriptions**	**Answer**
1. Disciplined	a) They are proactive and take initiative without waiting for permission from others.	1=.....
2. Confidence	b) They love their work and are willing to dedicate extra hours because of the joy it brings, beyond just money.	2=.....
3. Self –Starter	c) They are able to connect seemingly unrelated ideas and repurpose products to new markets.	3=.....
4. Creativity	d) They are focused on their goals and eliminate distractions, setting strategies to achieve success.	4=.....
5. Passion	e) They believe in their ability to succeed and demonstrate this belief in all their actions.	5=.....

20. UMUTONI is a new entrepreneur in Hospitality industry. she is worried about risks that are in hospitality industry and needs to develop a contingency plan to minimize potential damage and disruption for her business. Advise UMUTONI about any steps she will follow to develop a contingency plan for her business. **(15Marks)**

21. Discuss 5 key Components of a distribution Channel. **(15Marks)**

22. Given the information below for Commercial Trading Company Ltd on 1st April 2021,

- A cash balance of 10,000Frw
- It expected cash sales of 5,000Frw per month.

- Credit sales were to be 3500Frw per month and payment would be made in the following month.
- Monthly income from some of its own properties was expected to be 1,000 Frw
- Monthly purchases were 6,000Frw
- The Monthly salary and wages payroll was projected to be 800Frw
- A loan from Bank of Kigali 10,000Frw in the month of April
- Interest monthly payment of 100Frw as on the Loan.
- Monthly raw materials for 5,000Frw

Required:

i) What is the net cash position for April 2021? (circle the letter corresponding to the right option) **(5Marks)**

a) 14,000Frw

b) 37,900Frw

c) 14,100Frw

d) 30,400,000Frw

e) 39,700Frw

ii) What is the net cash position for May 2021? (circle the letter corresponding to the right option **(5Marks)**

a) 11,700Frw

b) 1700Frw

c) 35,500Frw

d) 44,840,000Frw

e) 3,550Frw

iii) Show the net cash position for June 2021 (circle the letter corresponding to the right option **(5Marks)**

a) 252,280,000Frw

b) 33,100Frw

c) 11,900Frw

d) 21,200Frw

e) 9,300Frw

END

RESERVED SPACE FOR SECTION B AND C ANSWERS

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